

2025/2026 Skills Snapshot Survey Report

Where skills strategy meets business impact



Executive summary

What sets high-performing organizations apart is their ability to unleash talent at scale, enabling their workforce to respond to change and opportunity with agility. Skills-powered organizations achieve this by identifying, developing, and deploying talent based on skills, rather than just roles, thereby enabling workforce flexibility and productivity.

The 2025/2026 Skills Snapshot Survey highlights a sustained trend: more companies are embracing skills-powered talent and reward practices, with five years of trend data revealing growing organizational utilization and confidence in operationalizing skills strategies.

New this year, HR leaders provided self-reported ratings of their organizations' effectiveness in running skills-based talent programs.¹ In addition to benchmarking strengths and weaknesses, patterns emerged regarding core activities that may have led to the increased effectiveness.

Those highly effective at attracting in-demand skills are:

- 2.1 times more likely to maintain a unified skills library
- 2.2 times more likely to centrally oversee proficiencies

Once skilled talent is on-boarded, companies must manage and develop these valuable skills. Those highly effective at tracking internal skills are:

- 2.3 times more likely to maintain a single enterprise-wide skills library
- 2.2 times more likely to map skills directly to jobs or job architectures
- 2.9 times more likely to centrally manage skills proficiency levels

Organizations that take a skills approach to their talent strategies are driving innovation for business improvements, reducing turnover costs, and responding to market shifts with greater speed and precision.

This article unpacks why leading companies are doubling down on skills as the engine of productivity, and how a skills-powered approach can create a sharper edge amidst volatile operating environments.

¹ HR leaders rated how well their organizations manage skills-based talent programs by scoring themselves as low, average, or high on ten key practices. Based on their total scores (up to 30 points) and their position within a normal distribution, companies were categorized as high, average, or low. The top and bottom, roughly 20% of scores, were classified as high-effectiveness and low-effectiveness, using one standard deviation from the mean.

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Laying stronger groundwork for skills-powered productivity

Mercer's fifth annual Skills Snapshot Survey reveals that more organizations than ever are embracing skills as a cornerstone of their talent strategy and are building the infrastructure to put them into action.

Drawing on insights from nearly 1,100 talent, rewards, and HR leaders across 72 countries, the survey charts the evolving practices of skills adoption. It outlines a progressive roadmap toward a truly skills-powered workforce.

The [Global Talent Trends study](#) identified that companies are leaning into skills to drive human-centric productivity. Organizations that excel need to be great at designing work, developing skills, and deploying talent. Many are strengthening their skills foundation (job architecture, skills taxonomies, etc.) to accelerate and scale, but they are still in the early days of formalizing their approach to redesigning actual work.

Survey snapshot

1077 talent, rewards, and HR leaders surveyed

72 countries represented

63% from for-profit multinational organizations

27% employ 10,000+ people

Insights span 15+ industries

Confidence is climbing, with a twist

HR leaders' confidence in identifying critical skills for their role, their team, and the enterprise rises in step with their perceived effectiveness in running skills-based talent practices. Among companies who rate themselves highly effective in their skills-based practices, 72% of HR leaders ranked themselves as highly confident in assessing skills company-wide, compared to 41% who ranked themselves as moderately effective and 21% who reported being low in effectiveness.

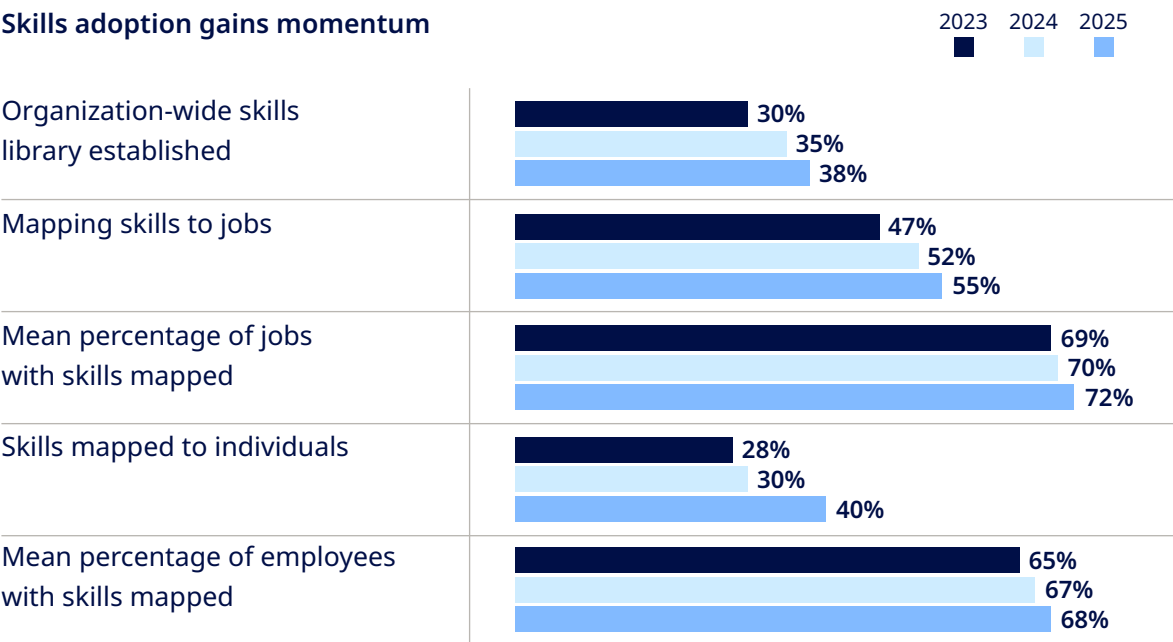
This year, 43% of all respondents report being very confident in knowing the skills most critical to their company, up from 35% in 2023. Steady progress in identifying company-wide skills, inching them closer to the higher levels of confidence the participants have in identifying department and job skills, indicates that more companies are taking a dual approach: a top-down view of skills that matter at the organizational level and a bottom-up view of the specific capabilities required for individual roles. Only by connecting both can they turn awareness into action.

Organizations are making steady, measurable progress in establishing the foundations of a skills-powered workforce.

The survey revealed several encouraging trends:

- **Comprehensive skills libraries are expanding.** 38% of companies now use a single skills library across all organizational levels, up from 30% in 2023. HR leaders who reported themselves as highly effective in skills-based practices are twice as likely as those who ranked themselves as low-effective to have implemented a unified catalog.
- **Skills mapping is accelerating.** 55% of organizations now map skills to jobs — nearly double the 28% reported in 2022. Skills mapped to individual employees have also reached a record 40%, up from 28% last year.
- **Data upkeep is improving.** More companies are keeping their skills data current, with 25% updating it continuously (up from 18% in 2023) and 49% updating it at least annually (up from 42% in 2023). Most of this data now lives in HRM systems (52%, up from 46% in 2023).
- **Reward strategies are evolving.** One in five organizations has adopted a skills-based rewards program, up from 17% the previous year, indicating alignment between skills and pay.

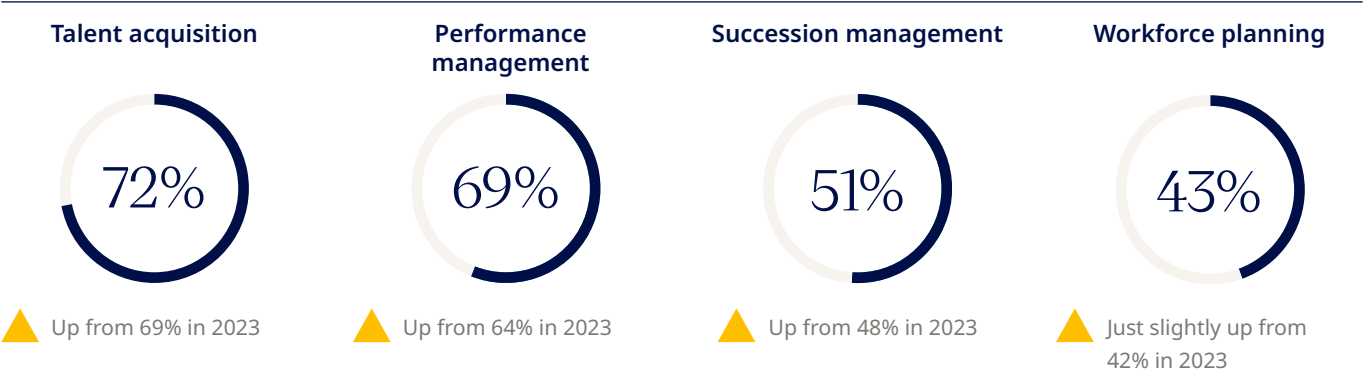
Skills adoption gains momentum



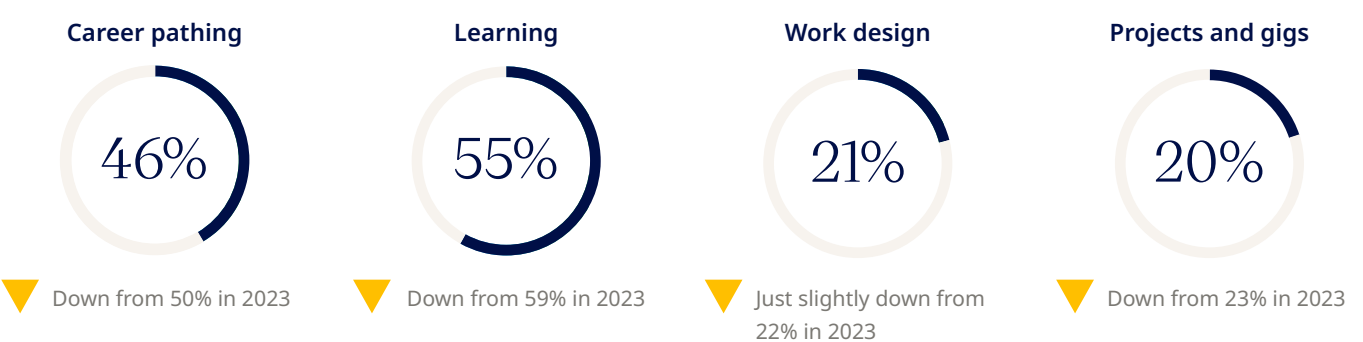
Embedding skills across talent practices

Addressing today’s skills shortages and ensuring the workforce remains employable tomorrow requires integrating skills-based practices into every aspect of talent management. The 2025/2026 Skills Snapshot Survey shows that organizations are making steady progress, with most areas seeing year-over-year gains.

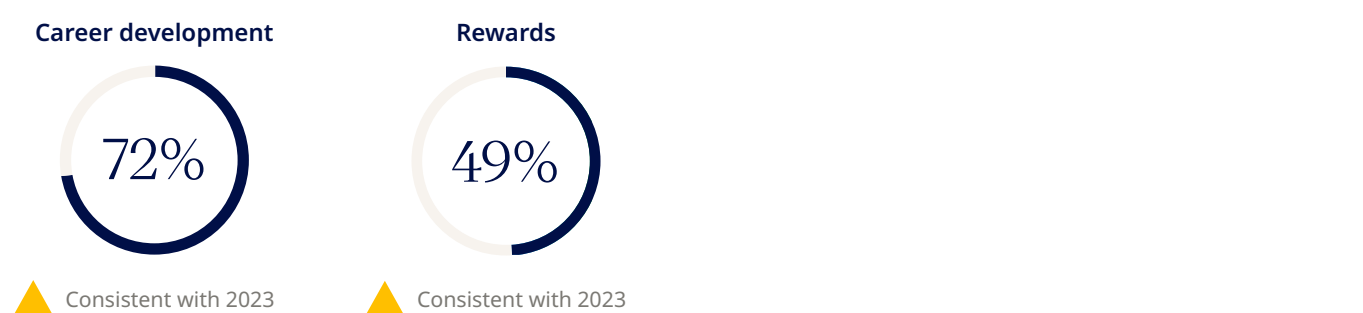
Practices with notable increases



Practices showing a slight decline



Practices holding steady



As the effectiveness of HR leaders in implementing skills-based practices increases, so does the maturity of integrating skills into core talent management practices. For example, 65% of those ranking themselves as having “low effective” skills practices rate their performance management maturity as low or very low, compared to 61% of ‘high effectiveness’ leaders who rate theirs as high or very high.

In addition, HR leaders with high-performing skills-based talent practices report far greater results than those with low effectiveness, often two to four times the impact on workforce goals. Specific results include:

- **Workforce agility/flexibility** — 2.3 times greater impact
- **Productivity** — 2.6 times greater impact
- **Attracting and retaining critical skills** — 4.1 times greater impact
- **Employee development** — 3.4 times greater impact
- **Career opportunities** — 2.7 times greater impact

AI moves from hype to action

Only 9% of organizations fail to see impact from AI, down from 45% in 2023 — a significant shift. Nearly one in four (24%) already have a generative AI workforce strategy, triple the share from 2023.

Understanding the impact of AI is different from having a strategy in place. Get it right with help from Mercer. Explore our [Work Design methodology and tools](#).



Mapping skills to employees

As organizations deepen their adoption of skills-powered talent practices, the ability to pinpoint skills at the individual level is becoming essential. Most employers map skills based on current job roles (73%, up slightly from 72% in 2023), while also drawing on manager assessments (69%, up from 65% in 2023) and employee self-reporting (48%, up from 44% in 2023).

The most common approach is for employees to complete self-assessments, which are then validated by managers (71%). These assessments are typically linked to year-end evaluations (65%, up sharply from 50% in 2023), career development initiatives (46%), or direct manager-led assessments (45%, up from 37% in 2023). Embedding skill assessments into year-end processes signals a pivotal shift, as skills are no longer a side initiative — they're becoming a core pillar of HR strategy.

Consistently tracking skills is linked to better organizational performance. HR leaders who rate themselves as highly effective in skills-based talent practices are 4.7 times more likely to measure skills continuously than those who rate themselves as less effective. Furthermore, those who are highly effective continuously update or refresh their skills data at almost twice the rate (29%) of those who rank themselves as being low in effectiveness (16%).

Visibility into skills data remains limited; 38% of organizations allow access to the “need to know circle” including employees, HR, and line managers, while only 21% make skills profiles transparent across the organization. Skills transparency increases as the effectiveness of skill-powered programs rises. Nearly half (45%) of high-effectiveness organizations have employee skills profiles visible to both employees and key internal stakeholders, compared to 31% in low-effectiveness groups. True skills-powered organizations need to make skills profiles visible to all.

Map skills directly to your jobs

[Skills Map](#) is a workflow solution underpinned by Mercer's [Skills Library](#) of 12,000+ jobs and 3,400+ skills, which enables you to map skills and related proficiency levels to your jobs quickly.

Closing the gaps in measuring proficiency

Proficiency frameworks enable organizations to differentiate between levels of expertise in any given skill. While adoption is growing, with 25% of organizations now managing proficiencies centrally (up from 21% in 2023), more than half (53%) still do not manage them at all. If a company believes talent is a valuable enterprise resource, then common proficiencies are necessary to evaluate that resource through a set of clearly defined skills and capabilities.

Nearly 39% of respondents report that their company lacks a consistent proficiency scale across all skills, making it difficult to compare capabilities across teams or employees. Among organizations that do measure proficiency, a

five-level scale is the most common approach (22%, up from 14% in 2023). Companies are making progress in standardization and governance: 50% have now defined an ideal number of skills per job, up from 30% in 2023. The strongest consensus points to 10 or fewer skills per role. When implemented, proficiency frameworks are widely applied in performance management (77%), career development (76%), and talent acquisition (69%). Yet technology remains a weak link — 61% still rely on Excel or internally built databases for skills mapping. Most organizations source their skills lists through customized in-house solutions (39%), while just 11% use vendor-provided lists without further customization.



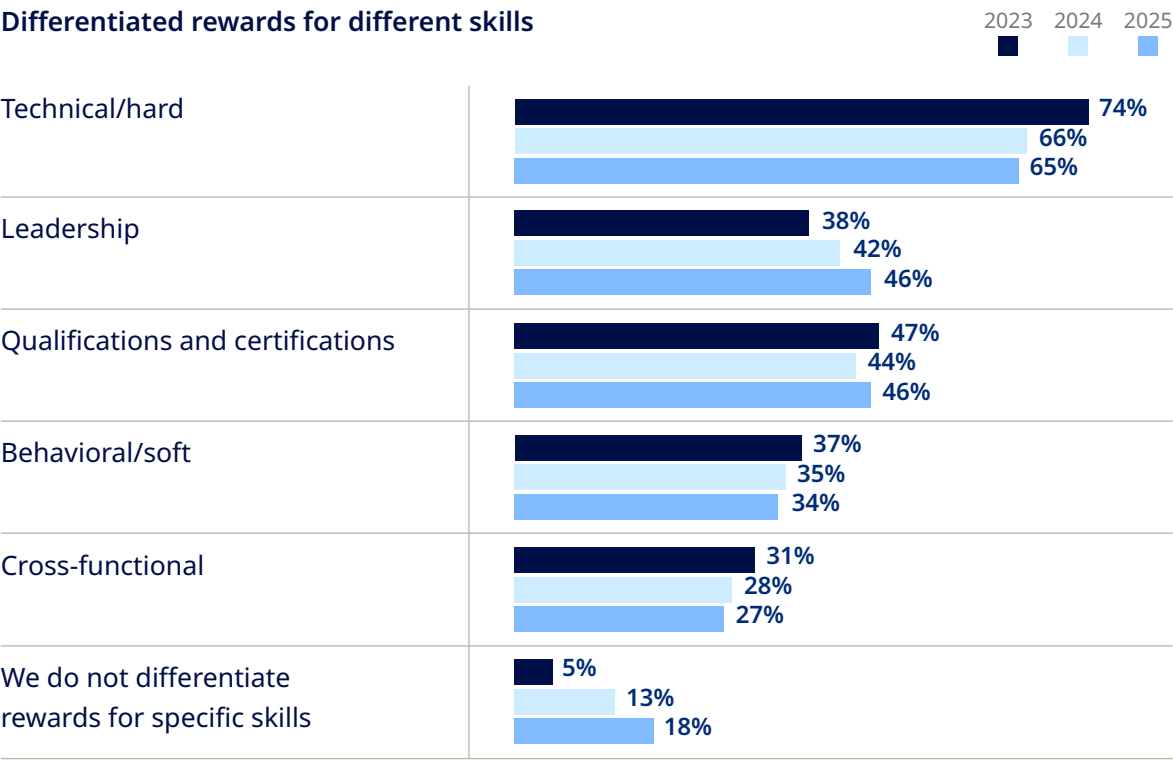
Linking skills with rewards

This year, 20% of companies report having a skills-based reward program, up from 17% in 2023. The top perceived benefits have remained consistent over the past three years: attracting and retaining talent with in-demand skills, incentivizing skill development, and promoting a fairer approach to compensation.

Notably, more organizations are now differentiating rewards by skill type, with technical/hard skills seeing the greatest emphasis.

When well-designed, these programs offer both strategic and economic advantages, aligning compensation with evolving business priorities while motivating employees to develop the capabilities that drive success.

Differentiated rewards for different skills



HR leaders who ranked themselves as highly effective at skills-based talent practices are more likely to reward both technical and leadership skills (leadership: 52% ranked as high in effectiveness

vs. 33% ranked as low in effectiveness). This emphasis serves as strategic leverage against competitors and acts as a powerful retention tool.

Benefits and barriers to skills-based practices

The top three desired benefits of investing in skills-based talent practices have remained consistent over the past three years:

1. Attracting and retaining critical skills
2. Driving workforce productivity
3. Delivering greater workforce agility

Other core benefits cited include expanding employee development opportunities, reducing costs and improving efficiencies, and fostering a culture of continuous learning.

The greatest obstacle in 2025 in advancing skills-based talent practices was organizational change overload, cited by two in five respondents (40%, up from 36% in 2023). This reflects the strain of navigating multiple concurrent transformations such as restructurings, technology rollouts, leadership transitions, or shifts in business strategy, which can limit the capacity to take on additional initiatives.

Other significant barriers to adopting skills-based talent practices include limited HR capacity and capability, as well as perceived risks related to investment, operational disruption, or uncertainty about outcomes.

Half (55%) of the HR leaders who ranked themselves as low in effectiveness in skills-based talent practices stated that they lack the capacity or skills — three times the rate of those organizations ranked as high in effectiveness (18%). These HR leaders stated that they often feel they lack the necessary skills, resources, and expertise to implement new practices effectively, creating a significant barrier to progress.

Measuring what matters

Most organizations gauge the success of their skills-based programs using internal hire metrics (62%), learning engagement metrics (47%), and talent mobility metrics (45%). As the effectiveness of skills-based programs rises, so does the use of these program metrics.

HR leaders who rank themselves as highly effective in skills-based talent practices are far more likely to track internal hires, talent mobility, and learning engagement than those who report average or low effectiveness. For example, 51% of those ranked highly effective measure talent mobility compared to just 31% of those ranked as low effectiveness.

Case study: Leading transformation with work design

Client snapshot

- Industry: Manufacturing — Steel
- Size: 30.000+ employees globally
- Established: 1901
- Location: Regional HQ: LATAM

A Global steel manufacturer was grappling with increasing operational complexity, rising compliance and safety demands, and inconsistent practices across its international footprint. To address these challenges, Mercer partnered with them to redesign work to deliver new levels of efficiency and cost savings.

The challenge

They faced growing operational complexity, increasing compliance and safety demands, and significant performance differences across regions. At the center of the challenge was the front-line leader (FLL) role, a critical supervisory position responsible for guiding shop-floor teams.

The FLLs had become overloaded with responsibilities, often firefighting rather than leading, which reduced their capacity to coach employees, focus on safety, or drive performance. Attrition in these roles further heightened the urgency, threatening both operational continuity and talent development.

The approach

Together we began by focusing on the FLL role, conducting field interviews, plant visits, and detailed task and skill inventories. The goal was to understand exactly how time was being spent and identify opportunities to redesign the role.

Based on this research, the team developed a future vision and created four alternative scenarios for the project's evolution. These scenarios varied in their level of disruption, incorporating elements such as technology enablement, shared services, and redesigned support processes.

One of the key challenges was localization. Plants had different maturity levels and systems, so Mercer built a decision-support calculator. This tool allowed each site to identify the most suitable path forward while still aligning with a broader transformation strategy.

Results and impact

The redesign produced both qualitative and quantitative benefits. The introduction of AI agents and Shared Services, a bold move in the manufacturing sector, demonstrated how nontraditional solutions could improve efficiency.

Modeling suggested the potential to reduce the FLL workload by 80% in one country and 88% in another, thereby freeing up leadership capacity for higher-value activities, such as coaching, safety, and problem-solving. The projected financial impact was equally striking with potential benefits as high as USD 67 million. This clarity strengthened day-to-day operations, as well as career development and succession planning.

Lessons learned

By deeply deconstructing, quantifying, analyzing alternatives, and reconstructing work along with a skills lens, the organization lay the essential foundation for sustainable transformation. The case demonstrates how work design grounded in skills and task analysis with the involvement of incumbents in co-design can drive operational efficiencies for business along with talent management. Work design underpinning a skills powered approach can act as an essential context that informs which skills are critical to talent management and organizational transformation.



Your roadmap to a skills-powered workforce



Adopting a skills-powered approach to talent management can unlock workforce capacity, spark innovation, and keep your organization agile in the face of market change. The organizations that thrive tomorrow will be the ones that invest in and nurture their people's skills today.

Act now to build a skills-powered strategy, and we'll help you turn skills into measurable business impact so your workforce is ready for whatever comes next. Ready to learn more? [Contact us](#)

Skills-powered checklist:

- 1 **Engage key business stakeholders**
- 2 **Create a compelling skills vision**
- 3 **Identify priority use cases**
- 4 **Define a fit-for-purpose skills framework**
- 5 **Identify data and tech requirements**
- 6 **Map relevant skills content**
- 7 **Establish governance model**
- 8 **Have a multi-year roadmap**



Contributors

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Ready to learn more?

[Contact us](#)

¹ Unless otherwise stated, all references are to Mercer's [2024/2025 Skills Snapshot Survey report](#).

About Mercer

At Mercer, we believe in building better futures.

Together, we're redefining the world of work, reshaping retirement and investment outcomes, and unlocking real health and well-being. We do this by meeting the needs of today and tomorrow. By understanding the data and applying it with a human touch. And by turning ideas into action to spark positive change.

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